Myth #2 Economic Growth Drives Stock Returns

Should investors favor strong economic growth? Of course they should if they want to earn high returns. Strong growth drives profits, which drives returns. This practically goes without saying in the investing world. If economic vitality didn't matter, all the time spent pontificating over economic figures and developing growth forecasts associated with these estimates would be a complete waste of time, right? And that's obviously wrong, because astute professional investors are too smart to waste time on activity that doesn't matter or add value.

Not so fast.

We're going to let you in on a secret: Investors focused on economic growth are wasting their time. Jay Ritter tells a compelling *evidence-based story* that economic growth *doesn't benefit* stockholders.[11] If anything, the evidence suggests a negative correlation between equity returns and GDP growth.[12] Figure 4.1 shows the relation between real equity returns and real per capita GDP growth for 16 countries over the 1900 to 2002 period—over a 100-year testing period!